

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2019		Bank				Group Consolidated		
		30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)
A.	ASSETS							
1	Cash balances (both local and foreign)	400,525	356,884	426,040	477,874	400,525	356,884	477,874
2	Balances due from Central Bank of Kenya	2,239,721	2,423,468	2,079,232	2,155,275	2,239,721	2,423,468	2,155,275
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5	Investment Securities:							
	a) Held to Maturity:	1,417,444	515,801	591,117	515,641	1,417,444	515,801	515,641
	a. Kenya Government securities	1,417,444	515,801	591,117	515,641	1,417,444	515,801	515,641
	b. Other securities	-	-	-	-	-	-	-
	b) Available for sale:	2,611,805	2,696,339	3,022,567	3,732,578	2,611,805	2,696,339	3,732,578
	a. Kenya Government securities	2,611,805	2,696,339	3,022,567	3,732,578	2,611,805	2,696,339	3,732,578
	b. Other securities	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,227,847	1,696,302	1,221,604	326,980	1,227,847	1,696,302	326,980
7	Deposits and balances due from banking institutions abroad	193,489	345,124	108,846	170,437	193,489	345,124	170,437
8	Tax recoverable	147,691	184,898	185,772	187,554	217,127	311,739	213,932
9	Loans and advances to customers (net)	47,593,741	44,615,058	43,307,899	41,852,265	47,593,741	43,439,691	40,543,382
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-
13	Investment in Joint ventures	254,580	236,627	236,627	236,627	1,714,020	1,690,210	2,589,226
14	Investment properties	-	-	-	118,003	745,829	-	844,135
15	Property and equipment	1,436,261	1,339,729	1,301,188	1,257,638	1,441,449	2,078,978	1,266,281
16	Prepaid operating lease rentals	38,244	38,013	37,898	37,782	42,023	43,284	42,962
17	Intangible assets	1,006,132	1,006,692	960,204	923,550	1,006,455	1,007,553	923,633
18	Deferred tax asset	802,600	854,804	835,244	813,128	825,663	994,594	944,585
19	Retirement benefit asset	-	-	-	-	-	-	-
20	Other assets	892,832	773,544	891,493	1,217,160	3,833,089	2,949,383	2,248,737
21	TOTAL ASSETS	60,262,912	57,083,283	55,205,731	54,022,492	65,510,228	60,549,350	56,995,658
B.	LIABILITIES							
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23	Customer deposits	36,386,264	34,866,684	34,133,142	33,956,889	36,214,806	34,720,824	33,831,076
24	Deposits and balances due to local banking institutions	379,656	578,216	122,460	69,262	379,656	578,216	69,262
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-
27	Borrowed funds	13,190,194	11,520,964	11,127,399	10,258,130	15,638,583	13,468,749	10,635,864
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	3	3	-
30	Dividends payable	-	-	-	-	46,567	28,055	2,317
31	Deferred tax liability	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-
33	Other liabilities	608,779	952,459	658,163	550,356	2,093,646	1,382,272	2,085,693
34	TOTAL LIABILITIES	50,564,893	47,918,323	46,041,164	44,834,637	54,373,261	50,178,119	46,624,212
C.	SHAREHOLDERS' FUNDS							
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512
37	Revaluation reserves	179,580	180,440	180,440	180,440	881,044	881,903	881,903
38	Retained earnings/Accumulated losses	253,516	(1,440,413)	(1,846,360)	(1,940,662)	3,264,317	1,337,713	769,538
39	Statutory loan loss reserves	690,214	1,885,489	2,245,403	2,311,390	690,214	1,885,489	2,311,390
40	Other Reserves	10,297	(24,968)	20,672	72,275	(15,941)	(51,207)	91,282
41	Proposed dividends	-	-	-	-	-	-	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,698,019	9,164,960	9,164,567	9,187,855	11,136,967	10,371,231	10,371,446
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	60,262,912	57,083,283	55,205,731	54,022,492	65,510,228	60,549,350	56,995,658

		Bank				Group Consolidated		
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2019	30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)
1	INTEREST INCOME							
1.1	Loans and advances	3,023,058	5,661,554	1,253,587	2,490,651	3,023,058	5,661,554	2,490,651
1.2	Government securities	145,674	338,823	91,233	195,706	145,674	338,823	195,706
1.3	Deposits and placements with banking institutions	25,414	45,144	5,894	10,387	25,414	45,144	10,387
1.4	Other Interest Income	-	-	-	-	-	-	-
1.5	Total interest income	3,194,146	6,045,521	1,350,714	2,696,744	3,194,146	6,045,521	2,696,744
2	INTEREST EXPENSES							
2.1	Customer deposits	1,109,786	2,173,142	460,938	886,437	1,109,786	2,173,142	886,437
2.2	Deposits and placement from banking institutions	63,784	126,790	19,742	42,825	63,784	126,790	42,825
2.3	Other interest expenses	678,035	1,311,822	279,480	537,449	677,425	1,479,916	740,278
2.4	Total interest expenses	1,851,605	3,611,754	760,160	1,466,711	1,850,995	3,779,848	1,669,540
3	NET INTEREST INCOME/(LOSS)	1,342,541	2,433,767	590,554	1,230,033	1,343,150	2,265,673	1,027,203
4	OTHER OPERATING INCOME							
4.1	Fees and commissions on loans and advances	18,008	62,953	16,436	26,950	18,008	62,953	26,950
4.2	Other fees and commissions	53,997	112,045	98,035	159,974	111,429	151,772	159,974
4.3	Foreign exchange trading income/(Loss)	24,418	38,173	6,298	15,011	24,418	38,173	15,011
4.4	Dividend Income	-	-	-	-	-	-	-
4.5	Other income	47,318	89,707	11,682	42,204	432,961	1,066,159	712,244
4.6	Total Non-interest income	143,741	302,878	132,451	244,139	586,816	1,319,057	914,179
5	TOTAL OPERATING INCOME	1,486,282	2,736,645	723,005	1,474,172	1,929,966	3,584,730	1,941,382
6	OPERATING EXPENSES							
6.1	Loan loss provision	228,135	375,908	179,706	369,437	228,135	375,908	369,456
6.2	Staff costs	395,700	929,804	201,123	409,065	601,385	1,227,078	498,545
6.3	Directors' emoluments	4,142	7,998	3,316	3,938	5,390	8,420	6,947
6.4	Rental charges	57,698	114,875	28,659	57,896	57,698	155,526	57,896
6.5	Depreciation charge on property and equipment	85,485	165,724	39,232	77,177	85,747	181,799	85,374
6.6	Amortisation charges	93,565	199,982	51,410	103,346	93,608	199,982	103,389
6.7	Other operating expenses	514,531	1,337,633	265,592	527,661	845,378	2,087,702	914,089
6.8	Total Other Operating Expenses	1,379,256	3,131,924	769,038	1,548,520	1,917,341	4,236,415	2,035,696
7	Profit/(loss) before tax and exceptional items	107,026	(395,279)	(46,033)	(74,348)	12,625	(651,685)	(94,314)
8	Exceptional items	-	13,555	-	-	19	8,941	-
9	Profit/(loss) after exceptional items	107,026	(381,724)	(46,033)	(74,348)	12,644	(642,744)	(94,314)
10	Current tax	(49,232)	(13,134)	-	-	(5,816)	(13,623)	(2,717)
11	Deferred tax	-	(33,967)	-	-	-	58,149	-
12	Profit/(loss) after tax and exceptional items	57,794	(428,825)	(46,033)	(74,348)	6,828	(598,218)	(97,031)
13	Other Comprehensive Income							
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	46,121	60,379	65,200	138,919	46,121	60,379	138,919
13.3	Revaluation surplus on Property, plant and equipment	-	860	-	-	-	860	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(13,836)	(18,114)	(19,560)	(41,676)	(13,836)	(18,114)	(41,676)
14	Other Comprehensive Income for the year net of tax	32,284	43,125	45,640	97,243	32,285	43,125	97,243
15	Total comprehensive income for the year	90,078	(385,700)	(393)	22,895	39,113	(555,093)	212
	Earnings per share	23.12	(85.77)	(36.83)	(29.74)	0.04	(1.56)	(0.50)
	Dividend per share	25.00	25.00	-	-	-	-	-

		Bank				Group Consolidated		
III	DISCLOSURES AS AT 30 JUNE 2019	30.06.2018	31.12.2018	31.03.2019	30.06.2019	30.06.2018	31.12.2018	30.06.2019
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1 Non-Performing Loans and Advances								
a)	Gross non-performing loans and advances	8,863,539	13,334,356	12,968,197	12,974,200	8,863,539	13,334,356	12,974,200
b)	Less: Interest in Suspense	1,496,388	2,501,523	2,673,324	2,845,300	1,496,388	2,501,523	2,845,300
c)	Total non-Performing loans and advances (a-b)	7,367,152	10,832,833	10,294,872	10,128,900	7,367,152	10,832,833	10,128,900
d)	Less: Loan loss provisions	1,959,174	2,098,159	2,488,850	2,542,118	1,959,174	2,098,159	2,542,118
e)	Net non-performing loans and advances(c-d)	5,407,977	8,734,674	7,806,022	7,586,782	5,407,977	8,734,674	7,586,782
f)	Discounted value of securities	5,407,977	8,734,674	7,806,022	7,586,782	5,407,977	8,734,674	7,586,782
g)	Net Exposure(e-f)	-	-	-	-	-	-	-
2 Insider loans and advances								
a)	Directors, shareholders and associates	464,484	1,549,429	1,497,959	1,451,304	464,484	1,549,429	1,451,304
b)	Employees	909,115	868,996	847,248	794,231	909,115	868,996	794,231
c)	Total insider Loans and Advances	1,373,599	2,418,425	2,345,206	2,245,535	1,373,599	2,418,425	2,245,535
3 Off-Balance Sheet items								
a)	Letters of credit, guarantees and acceptances	158,821	184,760	173,192	92,321	158,821	184,760	92,321
b)	Forwards, swaps and options	1,918,070	972,275	809,700	964,450	1,918,070	972,275	964,450
c)	Other contingent liabilities	-	-	-	-	-	-	-
c)	Total contingent liabilities	2,076,891	1,157,035	982,892	1,056,771	2,076,891	1,157,035	1,056,771
4 Capital Strength								
a)	Core capital	7,945,979	6,925,770	6,498,789	6,417,172	8,682,700	7,370,131	6,899,812
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	6,945,979	5,925,770	5,498,789	5,417,172	7,682,700	6,370,131	5,899,812
d)	Supplementary capital	757,469	684,869	620,310	593,343	757,469	684,869	592,246
e)	Total capital (a+d)	8,703,447	7,610,639	7,119,099	7,010,515	9,440,169	8,055,000	7,492,058
f)	Total risk weighted assets	50,932,537	48,940,357	45,724,837	45,517,330	55,889,419	52,178,149	47,521,522
g)	Core capital /Total deposit liabilities	21.61%	19.54%	18.97%	18.86%	23.73%	20.88%	20.35%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	13.61%	11.54%	10.97%	10.86%	15.73%	12.88%	12.35%
j)	Core capital /Total risk weighted assets	15.60%	14.15%	14.21%	14.10%	15.54%	14.12%	14.52%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency (j-k)	5.10%	3.65%	3.71%	3.60%	5.04%	3.62%	4.02%
m)	Total capital /Total risk weighted assets	17.09%	15.55%	15.57%	15.40%	16.89%	15.44%	15.77%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency (m-n)	2.59%	1.05%	1.07%	0.90%	2.39%	0.94%	1.27%
p)	Adjusted Core Capital/Total Deposit Liabilities*	22.80%	20.05%	19.40%	19.08%			
q)	Adjusted Core Capital/Total Risk Weighted Assets*	16.50%	14.52%	14.50%	14.27%			
r)	Adjusted Total Capital/Total Risk Weighted Assets*	18.00%	15.92%	15.90%	15.57%			
5 Liquidity								
a)	Liquidity Ratio	20.88%	20.92%	20.84%	20.90%	20.88%	20.92%	20.90%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess(Deficiency) (a-b)	0.88%	0.92%	0.84%	0.90%	0.88%	0.92%	0.90%